

Rising Middle East flows won't bring prices down

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Prices are likely to remain in the current \$90-\$110 per barrel band for Brent despite increasing US success at moving oil through the Strait of Hormuz.

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Regional flows have recovered above 75% of prewar volumes, but the process is costly, risky, and frequently disrupted by Iranian attacks, preventing the recovery from translating into lower prices.

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Riyadh's likely escalation against the Houthis will increase the risk of attacks on Saudi infrastructure hitting crude exports, though the rapid recovery in flows through the East-West pipeline suggests any disruptions are likely to be temporary.

Prices will remain high despite rising Middle East flows. The US is successfully leading efforts to move oil out of the Middle East, with regional flows recovering to above 75% of prewar levels. However, prices have remained stubbornly high; Brent is trading in the upper end of Eurasia Group's \$90-\$110 price band. Physical prices are even higher, with contracts for immediate delivery in the North Sea and Middle East averaging \$115-\$125 per barrel.

The discrepancy is due to a variety of factors, including the continued risk of Iranian or Houthi attacks on shipping and regional infrastructure, the costs and complexities of the US-sponsored escort system in the Gulf, and the low probability of a deal that would reduce regional tensions and allow the strait to fully reopen (see: [High oil prices likely throughout 2026 as US-Iran standoff endures](#) , 18 September 2026).

Higher crude flows could support increased Chinese imports, which would keep prices high. If regional flows increase and market supply rises, crude prices would likely fall. Yet such a development could also spur a more rapid recovery in Chinese crude oil imports, which remain low relative to their prewar level. These two factors—Middle East supply and Chinese demand—remain the two most important elements in determining broader market moves.

Attacks on Saudi infrastructure are likely to intensify. Riyadh is likely to escalate its conflict against the Houthis in Yemen (see: [Likely Saudi-Houthi escalation raises risk of oil disruptions](#) , 27 September 2026), raising the risk of more intense Houthi retaliation against Saudi energy infrastructure. If the

Houthis damage Saudi production or export facilities, the impairment to Saudi crude flows would cut into regional output and move prices upward.

Recovery of East-West pipeline demonstrates Saudi resilience. Two weeks after an attack that shut off operations, Saudi Arabia's East-West pipeline has restarted and loadings of Saudi oil at the Red Sea port of Yanbu have resumed. The rapid restoration of the pipeline demonstrates Riyadh's resilience against attacks by the Houthis or Iraqi militias (the latter were responsible for the pipeline attack), suggesting any disruptions in Saudi flows from infrastructure attacks are likely to be temporary.

As the Russia-Ukraine conflict has made clear, attacks on infrastructure need to be precise, successful, consistent, and carried out over a long period of time to have a sustained impact on export capacity.

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